

BOARD MEETING OF THE CBA
MINUTES (15.03.2022)

On the Refinancing Rate

The CBA Board Meeting of March 15, 2021 attended by CBA Governor M. Galstyan, Deputy Governors N. Yeritsyan and H. Khachatryan, and Board Members A. Stepanyan, H. Ghahramanyan, D. Nahapetyan, A. Manukyan and L. Sahakyan

The Board meeting opened with a report of the situation as of March 15. It addressed the developments on inflation, external environment, and real, fiscal, financial and monetary sectors of the economy. In the context of the current geopolitical developments, the key topic of discussion were the possible effects of the Russian-Ukrainian military-political conflict and various sanctions on the Russian economy on the global and Armenian economy and financial markets.

Compared to 0.6% in the same month of the previous year, inflation in February totaled 0.1%. Inflation was mainly triggered by 0.2% and 0.1% growth in prices for non-food products and services, respectively. In February, the overall price in “Food, Beverage and Tobacco” group remained unchanged, although within it prices of “Meat” and “Coffee, Tea and Cocoa” subgroups grew by about 5.0% in total, and the prices of “Fruit”, “Vegetables”, “Dairy” and “Oils” subgroups dropped by a total of 7.5%. ***As a result, 12-month inflation fell to 6.5% at the end of the month.*** In February, the ***12-month core inflation*** continued to drop as well, totaling ***6.4%***.

Current developments in the external sector were presented. First, it was noted that the various sanctions imposed on the Russian economy as a result of the escalation of the Russian-Ukrainian conflict were reflected in a significant increase in volatility of international financial markets and uncertainty over economic prospects. This has a negative impact on the macroeconomic environment of Armenia's partner countries, as a result of which a sharp decline in the Russia's economy and a slowdown of economic growth in the USA and the Eurozone is expected this year. At the same time, disruptions in supply chains, prices in international commodity markets, including energy and food grew significantly. The latter is reflected in higher-than-expected inflation in partner countries. Accordingly, the Central Banks of the partner countries are moving towards tightening their monetary

policies, in some cases raising, inter alia, policy interest rate with an unprecedented big step through extraordinary decisions.

The Board reviewed current developments of the RA economy, and it was noted that the growth of economic activity goes beyond the expected level. However, economic sanctions against Armenia's main partner Russia will have a direct negative impact on Armenia's economy. This will be mainly reflected in industrial decline and the slowdown of growth in the construction and services. Under such trends, the economic growth forecast for 2022 has been significantly revised downwards. In such circumstances, weaker external demand and a significant reduction in remittances will have a negative impact on aggregate demand, while a positive contribution is expected from the tourism sector. It was noted that the previous judgment of the impact of fiscal policy on domestic demand in the baseline scenario was preserved, according to which both in 2022 and in the medium term a certain consolidation and increase in capital expenditures are envisaged in line with the principle of debt sustainability. However, in the current situation, some changes in the budget revenue and expenditure policy are possible, and subject to clarification of the uncertainties associated with them, these changes will be taken into account in further projections of the Central Bank.

Developments in the financial market of Armenia were discussed; it was noted that the impact of the escalation of the Russian-Ukrainian conflict, severe financial and economic sanctions against Russia and the resulting uncertainty were primarily manifested in financial markets Armenia through higher volatility and country risk premium. Short-term market interest rates continued to shape around the Central Bank policy rate, while in the medium-term and long-term part of the yield curve a certain growth of interest rates was observed. According to estimates, the high level of uncertainty and the projected slowdown of economic activity in Armenia may result in a certain increase of credit risk in the financial system. Still, it was noted that at present liquidity and capital in the Armenian financial system is sufficient to ensure stable basic financing of the economy. Furthermore, it was noted that banking system will continue to service the real sector payment and settlement operations mostly in an uninterrupted way.

The Board was briefed on current inflation developments and estimations of inflation expectations. It was noted that since the end of last year, both general and core 12-month inflation have been gradually decreasing. However, in the context of the Russian-Ukrainian military-political conflict and sanctions against Russia, inflationary environment in the international commodity markets has significantly expanded, which has been transferred to domestic prices through a number of imported goods. It was also noted that the uncertainties were also

reflected in the dynamics of growing pricing and public inflation expectations.

Following a discussion of the situation report and external and domestic macroeconomic developments, the Board proceeded to addressing the monetary policy directions and making decision on the policy rate. In view of the significant growth of the country's risk-premium and rising inflation expectations in the face of intensifying geopolitical risks in the region and high uncertainty ***the Forecasting team suggested to the Board increasing the refinancing rate by 2.0 percentage points.*** The majority of the Board members agreed on the direction of the team proposal and the need for a drastic step. In reviewing different scenarios on the scale and duration of the impact of external and internal economic developments and the resulting uncertainty, Board members differed on the extent to which interest rates should be raised. At the same time, the position expressed by one of the members of the Board differed significantly from the opinion of the other members, as the latter proposed to leave the policy rate unchanged, based on the expectation of a significantly milder impact of the negative developments from external sector on the Armenian economy and inflation. Finally, considering the different scenarios in the conditions of uncertainty, the CBA Board ***decided to raise the refinancing rate by 1.25 percentage point.*** The Board further noted that if the risks in terms of the economic outlook uncertainty and rising inflation expectations persist, it will consider the need for possible further tightening of monetary policy in the near future. Under such policy measures, the 12-month inflation would gradually decrease, approaching the target of 4% in the forecast medium-term horizon and would stabilize around it.

The CBA Board further stated that the uncertainty related to the macroeconomic perspective due to geopolitical developments has significantly increased. At the same time, the risks of inflation deviation from the forecast direction are mainly balanced. In case of their materialization the Central Bank stands ready to respond accordingly in fulfilment of the price stability objective.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached.

THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA

BOARD DECISION

ON ESTABLISHMENT OF INTEREST RATES OF THE CENTRAL BANK OF MONETARY POLICY INSTRUMENTS AND PRESS RELEASE ON REFINANCING INTEREST RATE

By virtue of Article 2(3), Article (20) “c” and “e” points of the Republic of Armenia law “On the Central Bank”, and provisions of the Republic of Armenia law “On Normative Legal Acts”, the Board of the Republic of Armenia Central Bank, herewith enacts:

1. Set the refinancing rate of the Central Bank of the Republic of Armenia at 9.25%.
2. Set the Lombard repo facility rate offered by the Central Bank of the Republic of Armenia at 10.75%.
3. Set the deposit facility rate offered by the Central Bank of the Republic of Armenia at 7.75%.
4. Approve the press release on the refinancing rate of the Central Bank of the Republic of Armenia (attached).
5. This decision shall enter into force on the day following the day of its publication on the website of the Central Bank of the Republic of Armenia.

Martin Galstyan,
Governor of the Central Bank March 15, 2022

PRESS RELEASE
15.03.2022

At the March 15, 2022 meeting, the CBA Board decided to raise the refinancing rate by 1.25 percentage points, setting it at 9.25%.

In February 2022, both 12-month and core inflation fell in line with the CBA projection, totaling 6.5% and 6.4%, respectively.

In the external sector, in the context of the Russian-Ukrainian military conflict, various sanctions have been imposed on Russia's economy. As a result, a significant increase in financial market volatility and uncertainty about economic prospects was observed. In the United States and the Eurozone slowdown of economic growth is expected this year, and economic decline is expected in Russia. At the same time, the disruption of the reviewed supply chains in the international commodity and food markets has caused a significant increase in prices. This is reflected in the formation of a higher-than-expected inflationary environment in partner countries. **As a result, a mainly inflationary impact is expected on the Armenian economy from the external sector.**

The impact of the sanctions imposed on Russia, will be reflected in the significant slowdown of economic growth in Armenia. This will be mostly conditioned by the industrial decline. Total demand will be affected by declining remittances and sluggish external demand. A positive contribution from tourism sector is expected. Growing geopolitical risks in the region and the high uncertainty has led to increased volatility in the Armenian financial markets and bigger risk premium. The existing uncertainties were reflected in the inflation dynamics and inflation expectations as well.

In view of the above, the Board judges appropriate to increase the refinancing rate by a relatively large step. The Board considers that amid the economic outlook uncertainties and provided the risks of rising inflation expectations persist, the need for possible tightening of monetary conditions in the near future will be considered as well. Due to this policy actions, 12-month inflation will gradually decrease and reach the target of 4% in the forecast horizon.

The CBA Board considers that as a result of the geopolitical developments, the uncertainty in terms of macroeconomic perspective has significantly expanded. At the same time, the risks of inflation deviation from the projected trajectory are mainly balanced. Should the risks materialize in any direction, the Board stands ready to respond accordingly in fulfilment of the price stability objective.